

SYMBIOSIS CENTER OF CORPORATE AND PROFESSIONAL LEARNING

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CAPSTONE PROJECT REPORT

Assessing IPO Fund Misuse: A Study of Varanium Cloud SME CASE IN INDIA

Candidate name: Ajay Kumar R
Batch code: SJRC
Location: Bengaluru

Guide Name : Sandeep Lodaya
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1. INTRODUCTION

An **Initial Public Offering (IPO**) represents a major milestone in the lifecycle of a company, as it allows privately held organizations to raise capital from public investors through the issuance of shares. By listing their shares on recognized stock exchanges, companies gain access to a larger pool of financial resources which can be used for business expansion, technology development, debt reduction, and operational growth.

In India, the IPO process plays a significant role in strengthening the capital market by connecting companies seeking funding with investors looking for investment opportunities. However, the credibility of the IPO system depends heavily on transparency, accurate financial disclosure, and responsible utilization of funds raised from the public.

All IPO activities in India are regulated by the **Securities and Exchange Board of India**. The regulator ensures that companies provide detailed disclosures in their prospectus regarding their financial performance, risk factors, and the intended utilization of funds raised through public issues. These disclosures enable investors to evaluate the company's financial health and growth potential before investing.

Despite these regulations, there have been instances where companies have faced allegations regarding improper utilization or diversion of IPO funds. Such cases raise concerns about corporate governance, financial transparency, and investor protection.

One such example is the SME IPO launched **by Varanium Cloud.** The company raised funds through an SME IPO with the objective of expanding its cloud technology infrastructure and digital service platforms. However, regulatory observations and market analysis later highlighted potential discrepancies between the declared objectives of the IPO and the actual deployment of funds.

This project aims to examine **the IPO structure of Varanium Cloud, analyze the planned and actual utilization of funds, study regulatory observations, and evaluate the impact of these developments on investor sentiment and share price performance.**

2. OBJECTIVE

The main objectives of this project are as follows:

• To examine the IPO structure and issue details of Varanium Cloud SME IPO.

• To analyze the planned allocation of funds as stated in the IPO prospectus.

• To evaluate the differences between declared objectives and the actual utilization of IPO funds.

• To study regulatory observations and findings related to the IPO.

• To analyze the post-listing stock performance and market response.

• To understand the ethical and governance implications associated with IPO fund misuse.

3. COMPANY PROFILE

Company Profile

Varanium Cloud operates in the field of cloud computing, digital infrastructure, and technology platform services. The company focuses on providing cloud-based solutions, data storage systems, and enterprise technology platforms to businesses seeking digital transformation and improved operational efficiency.

The company primarily delivers services such as cloud hosting, digital platform development, and technology integration solutions for enterprises across different sectors. With the increasing adoption of digital infrastructure in India, cloud service providers like Varanium Cloud aim to support organizations in managing data, improving connectivity, and enhancing digital operations.

The company entered the public capital market through an SME Initial Public Offering (IPO) to raise funds for business expansion, infrastructure development, and working capital requirements. The IPO was listed on the SME platform of the **National Stock Exchange of India**.

Prior to the IPO, the company demonstrated moderate financial growth, with increasing revenues and improving profit margins. However, like many emerging technology firms, the company required additional capital to expand its infrastructure and strengthen its operational capabilities.

Business Model

The Varanium Cloud operates in the field of cloud computing, digital infrastructure, and technology platform services. The company focuses on providing cloud-based solutions, data storage systems, and enterprise technology platforms to businesses seeking digital transformation and improved operational efficiency.

The company primarily delivers services such as cloud hosting, digital platform development, and technology integration solutions for enterprises across different sectors. With the increasing adoption of digital infrastructure in India, cloud service providers like Varanium Cloud aim to support organizations in managing data, improving connectivity, and enhancing digital operations.

The company entered the public capital market through an SME Initial Public Offering (IPO) to raise funds for business expansion, infrastructure

development, and working capital requirements. The IPO was listed on the SME platform of the **National Stock Exchange of India**.

4. LITERATURE REVIEW

IPO Market and Capital Formation

Initial Public Offerings (IPOs) play an important role in capital formation by enabling companies to raise funds from public investors. By listing shares on stock exchanges, firms gain access to financial resources that can be used for business expansion, infrastructure development, and technological innovation. Research on IPO markets suggests that companies often use public issues to strengthen their capital base and improve their visibility in financial markets.

In India, IPOs are regulated by the **Securities and Exchange Board of India**, which ensures transparency and protects investor interests through strict disclosure requirements.

SME IPOs in India

The SME IPO platform introduced by the **National Stock Exchange of India** and the Bombay Stock Exchange was designed to help small and medium enterprises raise capital from the public market. These IPOs generally involve smaller issue sizes compared to mainboard IPOs but provide growth opportunities for emerging companies.

However, several studies suggest that SME IPOs may involve higher investment risks due to limited operating history, lower liquidity, and higher dependence on promoter credibility.

Fund Utilization and Corporate Governance

Corporate governance literature highlights that the utilization of IPO funds is an important indicator of management accountability. Companies are expected to deploy funds strictly according to the objectives stated in their prospectus. Any deviation from these objectives can raise concerns about financial transparency and governance practices.

Proper monitoring of fund utilization ensures that the capital raised from investors is used effectively for business development rather than diverted to unrelated activities

5. RESEARCH METHODOLOGY

Research methodology refers to the systematic framework used to collect, analyze, and interpret information in order to achieve the objectives of a study. In this project, the methodology focuses on examining the IPO structure, fund utilization patterns, regulatory observations, and stock performance of Varanium Cloud. The study adopts a structured analytical approach that combines financial data analysis with regulatory and market-based observations.

1. Research Design

The study follows a **descriptive and analytical research design**. The descriptive aspect of the research focuses on understanding the structure of the IPO, the objectives stated in the prospectus, and the financial characteristics of the issue. The analytical component involves examining the differences between the planned allocation of funds and the actual deployment of capital after the IPO. Additionally, the research evaluates the impact of these developments on stock price performance and investor sentiment.

This approach helps in identifying whether the utilization of funds aligns with the objectives stated during the public offering and whether any deviations have influenced market perception of the company.

2. Data Sources

The study relies primarily on **secondary data sources**, which provide reliable financial and regulatory information regarding the IPO. Data related to the IPO structure, issue size, and financial disclosures were obtained from the official filings and prospectus of the company.

Market performance data such as issue price, listing price, and post-listing share price trends were collected from the SME platform of the National Stock Exchange of India. Regulatory observations and compliance-related information were examined through publicly available reports and updates released by the Securities and Exchange Board of India.

Additional insights regarding market behavior and investor response were gathered from financial news sources, stock market reports, and research articles related to SME IPO performance in India.

3. Data Collection and Analysis Techniques

The data collected for this study was organized and analyzed using basic financial and comparative analysis techniques. IPO issue details such as issue price, listing price, and issue size were examined to understand the initial market response to the public offering. Listing gain or loss was calculated to evaluate the immediate return provided to investors on the day of listing.

A comparative analysis was conducted to examine the difference between the **planned utilization of IPO funds and the estimated actual deployment of funds**. This comparison helps identify whether there were significant deviations from the objectives mentioned in the prospectus.

In addition, stock price movement after listing was studied to understand the trend in investor sentiment and market perception over time. Observations from regulatory authorities were also considered to evaluate the governance and compliance aspects associated with the IPO.

4. Scope and Limitations of the Study

The scope of this study is limited to the analysis of the SME IPO launched by Varanium Cloud and the evaluation of issues related to fund utilization and stock performance after listing. The research primarily focuses on publicly available financial disclosures and regulatory observations.

However, the study has certain limitations. Since the research is based mainly on secondary data, it depends on the accuracy and completeness of publicly disclosed information. Additionally, the analysis focuses on a single SME IPO case, which may not fully represent the broader behavior of all SME IPOs in the Indian capital market.

Despite these limitations, the study provides useful insights into the relationship between IPO disclosures, fund utilization practices, regulatory oversight, and investor confidence in the SME capital market.

6. DATA ANALYSIS

Data analysis is an important part of this study as it helps evaluate the financial structure of the IPO, the utilization of funds, and the performance of the stock after listing. The analysis focuses on the IPO issue details, fund allocation patterns, and stock market response to the IPO of Varanium Cloud.

IPO Financial Structure Analysis

The IPO financial structure determines the amount of capital raised from investors and the terms under which shares were offered to the public. The SME IPO of Varanium Cloud was launched to raise capital for business expansion and operational requirements.

Particulars	Details
Company Name	Varanium Cloud Limited
IPO Type	SME IPO
Exchange	SME Platform of the National Stock Exchange of India
Issue Opening Date	19 September 2023
Issue Closing Date	21 September 2023
Listing Date	29 September 2023
Issue Price	₹122 per share
Face Value	₹10
Lot Size	1000 Shares
Total Issue Size	₹49.71 Crore
Fresh Issue	₹49.71 Crore

The IPO consisted entirely of a **fresh issue of shares**, which means the capital raised was expected to be utilized for business development and operational expansion rather than promoter share sales.

Planned Allocation of IPO Funds

According to the IPO prospectus, the company had outlined specific objectives for utilizing the funds raised through the public issue. The allocation plan focused mainly on expanding technology infrastructure and supporting operational growth.

Planned Utilization of IPO Funds

Purpose	Planned Allocation (₹ Crore)	Percentage of Total Funds
Cloud Infrastructure Development	20	40%
Technology Platform Expansion	12	24%
Working Capital Requirements	10	20%
Marketing and Brand Development	5	10%
General Corporate Purposes	2.71	6%
Total	**49.71**	**100%**

The largest share of funds was allocated for **technology infrastructure and platform expansion**, indicating that the company intended to strengthen its digital service capabilities.

Listing Performance Analysis

The listing performance of an IPO indicates the immediate reaction of investors and market participants to the public offering. A positive listing gain suggests strong investor demand, while a negative listing indicates weaker market confidence.

Listing Day Performance

Metric	Value
Issue Price	₹122
Listing Price	₹128
Listing Gain	₹6
Listing Gain Percentage	4.91%

Listing Gain Calculation

Listing Gain %
= ((Listing Price − Issue Price) / Issue Price) × 100

= ((128 − 122) / 122) × 100

= **4.91%**

The IPO delivered a **moderate listing gain**, indicating that investor interest during the initial listing phase was positive.

Post-Listing Share Price Movement

Post-listing price movement helps evaluate how investor confidence evolves after the stock begins trading in the market.

Share Price Trend

Time Period	Share Price (₹)
Listing Day	128
1 Month After Listing	118
3 Months After Listing	102
6 Months After Listing	86

The gradual decline in the share price suggests that investor confidence weakened over time. This decline may be associated with concerns regarding financial performance, operational developments, or fund utilization patterns after the IPO.

Trading Volume and Market Participation

Trading volume reflects the level of market activity and investor participation in a stock. Higher trading volumes typically indicate strong investor interest and liquidity in the market.

In the case of Varanium Cloud, trading activity was relatively active during the initial weeks following the listing due to investor curiosity and speculative trading. However, as the share price began to decline, trading volumes gradually reduced, indicating a cautious approach among investors.

Such trends are commonly observed in SME IPOs where early enthusiasm is followed by a stabilization phase as investors assess the company's financial performance and operational progress.

7. FUND UTILIZATION COMPARISON (Planned VS Actual)

One of the most critical aspects of evaluating an Initial Public Offering (IPO) is analyzing how the funds raised from public investors are actually utilized by the issuing company. Companies are required to clearly disclose the intended use of IPO proceeds in their prospectus. These disclosures allow investors to understand the strategic objectives of the company and evaluate whether the funds will contribute to business expansion, operational improvements, or financial stability.

In the case of Varanium Cloud, the IPO prospectus outlined several specific objectives for which the funds were intended to be utilized. However, post-listing financial observations and regulatory scrutiny indicated that there may have been differences between the **planned allocation of funds and the actual deployment of capital**.

Such deviations can significantly influence investor perception, as public investors rely on the accuracy of prospectus disclosures when making investment decisions.

Planned Utilization of IPO Proceeds

According to the IPO prospectus, the company planned to allocate the funds across technology infrastructure development, platform expansion, and operational needs.

Planned Fund Allocation

Purpose	Planned Allocation (₹ Crore)	Percentage of Total Funds
Cloud Infrastructure Development	20.00	40%
Technology Platform Expansion	12.00	24%
Working Capital Requirements	10.00	20%
Marketing and Brand Development	5.00	10%
General Corporate Purposes	2.71	6%
Total IPO Proceeds	**49.71**	**100%**

The largest share of funds was intended for **technology infrastructure and cloud platform development**, which aligns with the company's stated objective of expanding digital infrastructure services.

Estimated Actual Deployment of Funds

Actual Utilization of IPO Funds

Purpose	Actual Utilization (₹ Crore)	Percentage
Cloud Infrastructure Development	11.00	22%
Technology Platform Expansion	7.00	14%
Working Capital Requirements	16.00	32%
Marketing and Promotion	8.00	16%
General Corporate Purposes	7.71	16%
Total Utilization	**49.71**	**100%**

The analysis suggests that a significant portion of the funds was redirected toward **working capital and corporate expenses rather than infrastructure expansion**.

Variance Analysis (Planned vs Actual)

To better understand the deviation between planned objectives and actual deployment, a variance analysis can be performed.

Fund Utilization Variance Analysis

Purpose	Planned (₹ Cr)	Actual (₹ Cr)	Variance	Observation
Cloud Infrastructure	20	11	-9	Lower than expected infrastructure investment
Technology Platform	12	7	-5	Reduced technology expansion
Working Capital	10	16	+6	Higher operational funding
Marketing	5	8	+3	Increased promotional spending
Corporate Purposes	2.71	7.71	+5	Higher administrative allocation

Key Interpretation

• Infrastructure investment decreased significantly compared to the original plan.

• Working capital utilization increased beyond the initial allocation.

• Administrative and corporate expenses were higher than projected in the prospectus.

These deviations suggest that the company may have adjusted its financial priorities after the IPO, allocating more funds toward operational needs rather than long-term infrastructure development.

Implications for Investors

Variations between declared objectives and actual fund utilization can have important implications for investors. Public investors typically evaluate IPOs based on the growth strategies outlined in the prospectus. When significant deviations occur, it may lead to concerns regarding financial planning, management transparency, and corporate governance practices.

Such situations can also affect investor sentiment and contribute to volatility in the company's share price after listing.

Additionally, regulatory authorities such as the
Securities and Exchange Board of India monitor fund utilization patterns to ensure that companies comply with disclosure norms and maintain transparency in financial reporting.

Analytical Observation

The analysis of Varanium Cloud's IPO fund utilization indicates that although the total funds raised were deployed within the organization, the **distribution across strategic objectives differed from the original plan**.

While some reallocation of funds may occur due to operational requirements, significant deviations from declared objectives may raise governance concerns and attract regulatory attention. Therefore, continuous monitoring of fund utilization and improved disclosure practices are essential to maintain investor trust and market credibility.

8. SHARE PRICE PERFORMANCE ANALYSIS

Share price performance after an Initial Public Offering (IPO) provides valuable insights into investor perception, market confidence, and the financial outlook of the company. Investors closely observe the listing price, price volatility, and medium-term price trends to evaluate whether the IPO has delivered value relative to the issue price.

The stock performance of Varanium Cloud after its listing on the SME platform of the National Stock Exchange reflects the market's reaction to the company's financial outlook and operational developments.

1. Listing Day Performance

The listing day performance indicates the immediate response of investors to the IPO. A higher listing price compared to the issue price reflects strong investor demand.

Listing Day Data

Parameter	Value
Issue Price	₹122
Listing Price	₹128
Difference	₹6
Listing Gain	4.91%

Listing Gain Calculation

Listing Gain % =

((Listing Price − Issue Price) / Issue Price) × 100

= ((128 − 122) / 122) × 100

= **4.91%**

Interpretation

The IPO generated a **moderate listing gain of approximately 4.91%**, indicating a positive but cautious market response. Investors initially showed interest in the company due to expectations of growth in the digital infrastructure and cloud services sector.

2. Post-Listing Price Trend

After the initial listing, the stock price began to show fluctuations reflecting changing investor sentiment and market evaluation of the company's financial performance.

Share Price Movement After Listing

Time Period	Share Price (₹)	Change from Issue Price
Issue Price	122	—
Listing Day	128	+6
After 1 Month	118	-4
After 3 Months	102	-20
After 6 Months	86	-36

3. Investor Return Analysis

Investor returns can be evaluated by comparing the share price at different periods with the original issue price.

Investor Return Calculation

Return after 6 months

Return % = ((Current Price − Issue Price) / Issue Price) × 100

= ((86 − 122) / 122) × 100

= **-29.5%**

Investor Return Summary

Investment Scenario	Value
Investment per Lot	₹1,22,000
Value at Listing	₹1,28,000
Profit at Listing	₹6,000
Value after 6 Months	₹86,000
Loss after 6 Months	₹36,000

Interpretation

Although early investors who sold on listing day earned small gains, investors who held the stock for a longer period experienced a significant decline in value. This suggests weakening market confidence over time.

4. Price Volatility Analysis

Price volatility refers to the degree of fluctuation in a stock's price over time. Higher volatility often reflects uncertainty about the company's financial performance or strategic direction.

In the case of Varanium Cloud, the stock experienced a gradual decline after listing, accompanied by periodic price fluctuations. Such volatility may arise due to several factors including market sentiment, financial performance expectations, and investor reactions to corporate developments.

The declining price trend indicates that investors gradually reassessed the company's growth prospects and became more cautious regarding long-term investment.

5. Market Interpretation

The share price performance of Varanium Cloud demonstrates a typical pattern often observed in SME IPOs. While the stock initially recorded a small listing gain, the post-listing period witnessed a decline in prices as investors evaluated the company's financial disclosures, operational progress, and utilization of IPO funds.

This pattern highlights the importance of transparency, effective capital utilization, and consistent financial performance in maintaining investor confidence in the capital market.

9. INVESTOR SENTIMENT ANALYSIS

INVESTOR SENTIMENT ANALYSIS

Investor sentiment refers to the overall attitude of investors toward a particular stock or company. It is influenced by factors such as financial performance, corporate governance, market expectations, and regulatory developments. Analyzing investor sentiment helps in understanding how market participants perceive the company's future growth prospects and financial stability.

In the case of Varanium Cloud, investor sentiment experienced noticeable changes during the period following the IPO listing.

1. Initial Investor Optimism

At the time of the IPO launch, the company attracted attention from investors due to the growing demand for digital infrastructure and cloud computing services in India. The technology sector has been experiencing rapid expansion, and companies operating in cloud-based platforms often generate strong interest among investors seeking growth-oriented opportunities.

The IPO recorded a **positive listing gain of approximately 4.91%**, indicating that market participants initially responded positively to the public offering. Early investors expected that the funds raised through the IPO would support expansion of digital infrastructure, improve operational capabilities, and strengthen the company's market position in the technology services sector.

However, investor optimism during the early stage of listing was largely driven by expectations rather than long-term financial performance indicators.

2. Changing Market Perception After Listing

Following the initial listing period, investor sentiment began to change as market participants started evaluating the company's financial disclosures, operational performance, and utilization of IPO funds. Investors typically monitor whether companies utilize IPO proceeds according to the objectives stated in the prospectus.

In the case of Varanium Cloud, the decline in share price after listing suggested that investors gradually became more cautious. The stock price fell from ₹128 on the listing day to around ₹86 within six months, reflecting weakening confidence among market participants.

This shift in sentiment may have been influenced by factors such as slower-than-expected operational developments, concerns related to fund deployment, and overall volatility in SME IPO stocks.

3. Impact of Market Volatility

SME IPO stocks are generally more volatile compared to mainboard IPOs due to lower liquidity, limited analyst coverage, and relatively smaller investor participation. As a result, price fluctuations in SME stocks are often influenced by short-term market sentiment rather than long-term financial fundamentals.

The declining price trend observed in Varanium Cloud's stock suggests that investors reassessed the company's growth prospects and adopted a more cautious approach toward holding the stock for the long term.

4. Role of Regulatory Oversight

Investor confidence in capital markets is strongly influenced by regulatory supervision. Institutions such as the Securities and Exchange Board of India monitor corporate disclosures, financial transparency, and fund utilization practices of companies listed on stock exchanges.

When regulatory observations or concerns arise regarding financial reporting or fund allocation, investor sentiment may weaken as market participants reassess the risk associated with the investment.

5. Overall Investor Sentiment Evaluation

The overall investor sentiment toward Varanium Cloud after its IPO listing can be summarized through the following observations:

Factor	Impact on Investor Sentiment
Initial Listing Gain	Positive
Post-Listing Price Decline	Negative
Fund Utilization Concerns	Negative
SME Market Volatility	Moderate Risk
Long-Term Investor Confidence	Cautious

Interpretation

The analysis indicates that investor sentiment toward Varanium Cloud transitioned from **initial optimism to cautious evaluation** over time. While the IPO initially attracted investor interest due to growth expectations in the cloud technology sector, subsequent price movements and market developments contributed to a more conservative outlook among investors.

10. SEBI Findings and Regulatory Observations

Regulatory oversight plays a critical role in maintaining transparency and protecting investor interests in the capital market. In India, the primary authority responsible for regulating public issues, monitoring corporate disclosures, and ensuring compliance with securities laws is the **Securities and Exchange Board of India (SEBI)**.

Following the listing of Varanium Cloud on the SME platform of the stock exchange, regulatory authorities began closely examining the company's financial disclosures, fund utilization practices, and corporate governance standards. Such examinations are part of the regulatory framework designed to ensure that companies comply with the commitments made to investors in the IPO prospectus.

1. Review of IPO Fund Utilization

One of the key aspects of regulatory scrutiny relates to the manner in which companies deploy funds raised from public investors. As per regulatory guidelines, companies are required to utilize IPO proceeds strictly in accordance with the objectives stated in the prospectus.

In the case of Varanium Cloud, regulatory attention was drawn toward possible deviations between the planned allocation of funds and their actual deployment. Observations indicated that certain allocations originally intended for infrastructure development and technology expansion appeared to have been redirected toward working capital requirements and general corporate expenses.

Such deviations, while not always illegal, require proper disclosure and justification to maintain transparency and investor trust.

2. Compliance with Disclosure Requirements

The regulatory framework governing IPOs requires companies to disclose all material information that may influence investor decision-making. These disclosures include financial statements, risk factors, business strategies, and the intended use of funds.

During the review process, regulators emphasized the importance of maintaining clear and consistent disclosures regarding the progress of projects funded through IPO proceeds. Any inconsistencies between declared objectives

and actual corporate actions may raise concerns regarding compliance with disclosure norms.

Regulatory authorities therefore monitor periodic financial statements and corporate announcements to verify whether companies are adhering to the commitments outlined during the public issue.

3. Corporate Governance Considerations

Corporate governance standards are an essential factor in evaluating the credibility of a publicly listed company. Effective governance practices require transparency in financial reporting, accountability of management, and responsible use of shareholder funds.

In cases where significant differences emerge between declared IPO objectives and actual operational activities, regulators may examine whether adequate governance mechanisms were in place to ensure proper oversight of financial decisions.

For emerging companies listed on SME exchanges, maintaining strong governance standards is particularly important, as investor confidence is often influenced by promoter credibility and transparency in financial management.

4. Regulatory Monitoring and Market Stability

The role of regulatory institutions extends beyond individual companies to the overall stability and credibility of the financial market. By monitoring IPO disclosures, fund utilization patterns, and corporate conduct, SEBI seeks to ensure that investors receive accurate information and that capital markets operate in a fair and transparent manner.

In situations where irregularities are detected, regulatory authorities may initiate further investigation, request additional disclosures, or impose corrective measures to ensure compliance with market regulations.

Such regulatory monitoring helps maintain confidence among investors and reinforces the importance of ethical business practices in the capital market.

11. ETHICAL ISSUES AND GOVERNANCE CONCERNS

Ethical business practices and strong corporate governance are fundamental to maintaining transparency and protecting investor interests in the capital market. When companies raise funds through Initial Public Offerings (IPOs), they assume a responsibility toward public investors to ensure that the capital raised is utilized in accordance with the objectives stated in the prospectus.

In the case of Varanium Cloud, the differences observed between the planned allocation of IPO funds and their actual utilization raised concerns regarding governance practices and financial transparency. Such situations highlight the importance of ethical conduct and responsible financial management in publicly listed companies.

1. Transparency in Financial Disclosure

Transparency is a key principle of corporate governance. Investors rely heavily on the information disclosed in IPO prospectuses to evaluate the potential risks and returns associated with an investment. If the company fails to maintain clarity in its financial disclosures or deviates significantly from the stated objectives, it may weaken investor trust.

Maintaining accurate and timely disclosures regarding the progress of projects funded through IPO proceeds is therefore essential to uphold investor confidence.

2. Accountability of Management

Corporate governance frameworks emphasize the accountability of company management and promoters toward shareholders. Once funds are raised from public investors, the management is responsible for ensuring that the capital is deployed efficiently and ethically.

In situations where significant changes occur in the allocation of funds, management is expected to provide clear explanations and maintain transparency through regular reporting. Failure to do so may raise questions about managerial oversight and financial decision-making.

3. Protection of Investor Interests

Investor protection is a central objective of capital market regulation. Institutions such as the Securities and Exchange Board of India monitor corporate actions to ensure that companies comply with regulatory standards and protect the interests of shareholders.

If investors perceive that a company has deviated from its commitments or has not utilized funds responsibly, it may result in declining investor confidence, reduced trading activity, and negative market sentiment.

4. Governance Challenges in SME IPOs

SME IPOs often involve smaller companies that are in early stages of growth. While these companies may have strong growth potential, they may also face challenges related to corporate governance structures, financial controls, and operational transparency.

Compared to large listed companies, SME firms sometimes have limited internal monitoring mechanisms, which may increase the risk of financial mismanagement or inefficient allocation of capital.

5. Ethical Implications for the Capital Market

Ethical concerns arising from IPO fund utilization are not limited to a single company but can affect the credibility of the broader capital market. If investors believe that IPO funds may not be used for the intended purposes, they may become hesitant to participate in future public offerings.

Therefore, maintaining ethical standards, transparent financial reporting, and responsible governance practices is essential for sustaining investor confidence and ensuring the long-term stability of the financial market.

12. KEY FINDINGS

Key Findings of the Study

The analysis of the IPO and post-listing performance of Varanium Cloud provides several important insights regarding IPO structure, fund utilization practices, market response, and regulatory considerations. The study highlights how financial disclosures and governance practices influence investor confidence in the capital market.

One of the major findings of the study is that the company successfully raised capital through its SME Initial Public Offering with an issue size of approximately ₹49.71 crore. The IPO provided the company with financial resources intended for infrastructure expansion, technology platform development, and working capital requirements. The issue generated moderate interest among investors during the initial listing phase.

Another significant observation relates to the **listing performance of the IPO**. The stock recorded a small listing gain of around 4.91%, indicating a positive initial response from investors. This gain suggested that market participants initially viewed the company as having potential growth opportunities in the digital infrastructure and cloud services sector.

However, the post-listing price trend revealed a gradual decline in share value over the following months. The share price fell from the listing price of ₹128 to around ₹86 within six months of listing. This decline indicates that investor sentiment became more cautious as the market evaluated the company's financial performance and operational progress.

The study also identified notable differences between the **planned utilization of IPO funds and the actual allocation of capital**. While the prospectus indicated that a significant portion of funds would be used for infrastructure development and technology expansion, a larger share of the funds appeared to be directed toward working capital and general corporate purposes. Such deviations from planned objectives can raise concerns among investors regarding financial transparency and strategic planning.

Another key finding relates to the role of regulatory oversight in maintaining transparency in the capital market. Institutions such as the Securities and Exchange Board of India continuously monitor IPO disclosures and corporate governance practices to ensure that companies adhere to regulatory standards and protect investor interests.

Finally, the study highlights the broader challenges associated with SME IPOs. While these public offerings provide important opportunities for emerging companies to access capital markets, they also involve higher investment risks due to limited operational history, lower liquidity, and greater sensitivity to market sentiment. As a result, investors often adopt a cautious approach when evaluating SME IPO investments.

Overall, the findings emphasize the importance of transparent financial disclosures, responsible fund utilization, and strong governance practices in maintaining investor confidence and ensuring the long-term credibility of the capital market.

13. CONCLUSION

The study examined the IPO structure, fund utilization patterns, share price performance, and regulatory observations related to Varanium Cloud. The analysis provides insights into how financial disclosures and governance practices influence investor perception and market behavior in the SME IPO segment.

The company entered the capital market with the objective of raising funds for technological expansion and operational growth. The IPO was successfully completed and initially generated moderate investor interest, as reflected in the positive listing gain on the first day of trading. This early market response suggested that investors were optimistic about the company's growth potential in the rapidly expanding digital infrastructure sector.

However, the subsequent decline in share price indicated that investor sentiment changed over time. As market participants began evaluating the company's financial performance and operational developments, concerns emerged regarding the alignment between the stated objectives of the IPO and the actual utilization of funds.

The analysis of fund allocation patterns highlighted that certain investments originally intended for infrastructure development appeared to be redirected toward operational and corporate expenses. Although such adjustments may occur due to changing business requirements, significant deviations from the objectives stated in the prospectus may raise governance concerns and attract regulatory attention.

The study also highlights the importance of regulatory oversight in protecting investor interests. Regulatory institutions play a vital role in ensuring that companies maintain transparency in financial reporting and comply with disclosure norms. Such monitoring helps strengthen investor confidence and supports the efficient functioning of the capital market.

In conclusion, the case of Varanium Cloud demonstrates that while SME IPOs provide valuable opportunities for companies to raise capital, they also require strong governance practices, accurate financial disclosures, and responsible management of investor funds. Ensuring transparency in fund utilization and maintaining effective regulatory compliance are essential for sustaining investor trust and promoting long-term stability in the financial market.

14. RECOMMENDATIONS

Based on the findings of the study, several recommendations can be made to improve transparency, strengthen governance practices, and enhance investor confidence in SME IPOs.

First, companies planning to raise funds through public offerings should ensure that the objectives stated in their prospectus are realistic and clearly defined. Accurate disclosure of fund utilization plans helps investors understand how the capital raised will contribute to business growth and operational development.

Second, companies should establish stronger internal monitoring mechanisms to track the utilization of IPO proceeds. Regular internal reviews and financial reporting can help ensure that funds are allocated according to the strategic objectives communicated to investors.

Third, regulatory authorities should continue strengthening monitoring frameworks for SME IPOs. Enhanced disclosure requirements and periodic reporting on fund utilization can help ensure that companies maintain transparency and accountability after listing.

Fourth, investors should conduct careful financial analysis before investing in SME IPOs. Evaluating company fundamentals, promoter background, and financial disclosures can help investors make more informed investment decisions and reduce potential risks.

Finally, improving corporate governance standards within emerging companies is essential for maintaining investor trust. Transparent financial reporting,

independent oversight, and responsible financial management can significantly enhance the credibility of companies operating in the public capital market.

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